drawing a salary not exceeding a certain figure. Matthai was in favour of continuing the practice of paying bonus to all the non-award staff but he was overruled by the government. Matthai was also upset about the attitude of the government in demanding a drastic reduction in the 'preposterously high' salaries and perquisites of its senior officers. It is possible that Matthai viewed these rulings from the government as a growing tendency to undermine the autonomy of the bank.[2]

By the end of September 1956, the first Central Board had lost three of its key members. S.K. Handoo, the Managing Director, had put in his papers a week before Matthai without assigning any reason. He was given leave preparatory to retirement from October 1956 till his eventual retirement in 1958. Sir Vithal Chandavarkar who had been a Director of the Imperial Bank since 1945 and a member of the Central Board since the inception of the bank also resigned without assigning any reason in August 1956. However, the bank made steady progress.

Branch Expansion

Fulfilment of objectives in respect of extension of banking facilities, conversion of non-banking treasuries into banking treasuries, and provision of remittance facilities depended on the opening of a large number of new offices. The SBI Act of 1955 had stipulated that the bank would establish 400 branches within five years. The bank successfully achieved this target when its 400th branch was inaugurated by Morarji Desai at Kairana in Muzaffarpur district of Uttar Pradesh on June 1, 1960. This expansion programme was without parallel in the history of Indian banking. However, this put a considerable strain on the bank and a committee was appointed under Prof. D.G. Karve, an eminent member of the Board who later became Vice Chairman and later Deputy Governor of the RBI, to report on various aspects of expansion with an eye on future expansion programmes. The terms of reference of the Committee included review of the working of new branches, assessment of difficulties encountered, measures to effect economy, and finally advise on the next expansion programme of the bank.

The Committee made recommendations on a variety of issues including criteria of selection of new centres, training of personnel, subsidizing of losses, organizational changes, and reducing overheads. It recommended